

STATE OF NEW YORK

6914--A

2025-2026 Regular Sessions

IN ASSEMBLY

March 18, 2025

Introduced by M. of A. FITZPATRICK, BLANKENBUSH, DiPIETRO, HAWLEY, TAGUE
-- Multi-Sponsored by -- M. of A. MANKTELOW, MORINELLO, PAULIN, SMULLEN -- read once and referred to the Committee on Governmental Employees -- recommitted to the Committee on Governmental Employees in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the retirement and social security law, in relation to establishing a defined contribution plan

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. The retirement and social security law is amended by adding a new section 618 to read as follows:

§ 618. Defined contribution plan. 1. The defined contribution plan is hereby established. The comptroller shall adopt rules and regulations regarding the standards and requirements of the defined contribution plan established pursuant to this section, including selection of financial organizations for investment purposes.

2. a. Notwithstanding any other provision of law, the defined contribution plan shall be established for all non-civil service appointed employees and elected officials employed by the state of New York or any public employer which has elected to participate in the New York state and local employees' retirement system.

b. The comptroller shall enter into written agreements with one or more financial organizations to administer the defined contribution plan for members and to invest funds held pursuant to such plan.

c. The rules and regulations promulgated by the comptroller shall establish standards for the selection of financial organizations, authorized to do business in this state, to participate in such plans, including, but not limited to, the following criteria: (i) rates of commission, brokerage and other fees, administrative expenses and

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

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1 related service charges imposed by the financial organization; (ii)
2 variety of types of investment opportunities offered by the financial
3 organization and/or among the financial organizations selected and the
4 ability to transfer among such opportunities; (iii) the stability of the
5 financial organization as evidenced by experience, reputation, assets
6 and holdings, ability to guarantee specific rates of return; (iv) abili-
7 ty to comply with reporting requirements to the comptroller and to
8 participants in such a plan; and (v) such other factors which would be
9 considered by a prudent investor in such a plan.

10 d. The president of the state civil service commission, subject to the
11 rules and regulations of the comptroller, shall provide assistance to
12 any public employer as is appropriate to the provisions of this section.

13 3. A public employer shall contribute three percent of such affected
14 employee's annual salary towards such defined contribution plan. All
15 non-civil service appointed employees and elected officials are required
16 to contribute three percent of their salary towards the defined contrib-
17 ution plan. Such employees may contribute up to one hundred percent,
18 not to exceed twenty-three thousand five hundred dollars of their salary
19 towards the defined contribution plan.

20 4. The term "financial organization" shall mean an organization
21 authorized to do business in the state of New York and (a) which is an
22 authorized fiduciary to act as a trustee pursuant to the provisions of
23 an act of congress entitled "Employee Retirement Income Security Act of
24 1974" as such provisions may be amended from time to time, or an insur-
25 ance company; and (b) (i) is licensed or chartered by the department of
26 financial services; (ii) is chartered by an agency of the federal
27 government; (iii) is subject to the jurisdiction and regulation of the
28 securities and exchange commission of the federal government; or (iv) is
29 any other entity otherwise authorized to act in this state as a trustee
30 pursuant to the provisions of an act of congress entitled "Employee
31 Retirement Income Security Act of 1974" as such provisions may be
32 amended from time to time.

33 5. The current retirement plans for non-civil service appointed
34 employees and elected officials shall be frozen as of the effective date
35 of this section. Non-civil service appointed employees and elected offi-
36 cial shall no longer contribute to their current retirement plan,
37 however, such persons shall receive the benefits they have accrued up to
38 the effective date of this section upon retirement. The membership of a
39 non-civil service appointed employee or elected official in any state
40 retirement system shall remain open if they become a member of the
41 defined contribution plan.

42 § 2. This act shall take effect on the first of the fiscal year next
43 succeeding the date on which it shall have become a law. Effective imme-
44 diately, the addition, amendment and/or repeal of any rule or regulation
45 necessary for the implementation of this act on its effective date are
46 authorized to be made and completed on or before such effective date.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

This bill would create a defined contribution (DC) plan for existing and future elected officials and non-civil service appointees employed by the state of New York or any public employer participating in the New York State and Local Employees' Retirement System (NYSLERS). Participants and their employers would be required to contribute three percent of annual compensation to the DC plan.

This proposal would freeze the benefit accruals of affected NYSLERS members. If enacted, this bill is likely to face a constitutional chal-

lenge based upon the guarantee that a member's benefits may not be diminished.

We anticipate significant administrative costs to implement the provisions of this legislation.

Summary of relevant resources:

Membership data as of March 31, 2025 was used to measure the impact of the bill, the same data used in the Actuarial Valuations dated April 1, 2025. Distributions and other statistics can be found in the 2025 Report of the Actuary and the 2025 Annual Comprehensive Financial Report. The actuarial assumptions and methods used are described in the 2025 Annual Report to the Comptroller on Actuarial Assumptions, and the Codes, Rules and Regulations of the State of New York: Audit and Control. The fair value of assets and GASB Disclosures can be found in the 2025 Financial Statements and Supplementary Information.

Assumptions, demographics, and other considerations may have been modified to better reflect specific provisions of any proposed benefit change(s).

This fiscal note does not constitute a legal opinion on the viability of the bill, nor is it intended to serve as a substitute for the professional judgment of an attorney.

This estimate, dated January 9, 2026, and intended for use only during the 2026 Legislative Session, is Fiscal Note Number 2026-35. As Chief Actuary of the New York State and Local Retirement System (NYSLRS), I, Aaron Schottin Young, hereby certify that this analysis complies with applicable Actuarial Standards of Practice as well as the Code of Professional Conduct and Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion of the American Academy of Actuaries, of which I am a member. I am a member of NYSLRS but do not believe it impairs my objectivity.